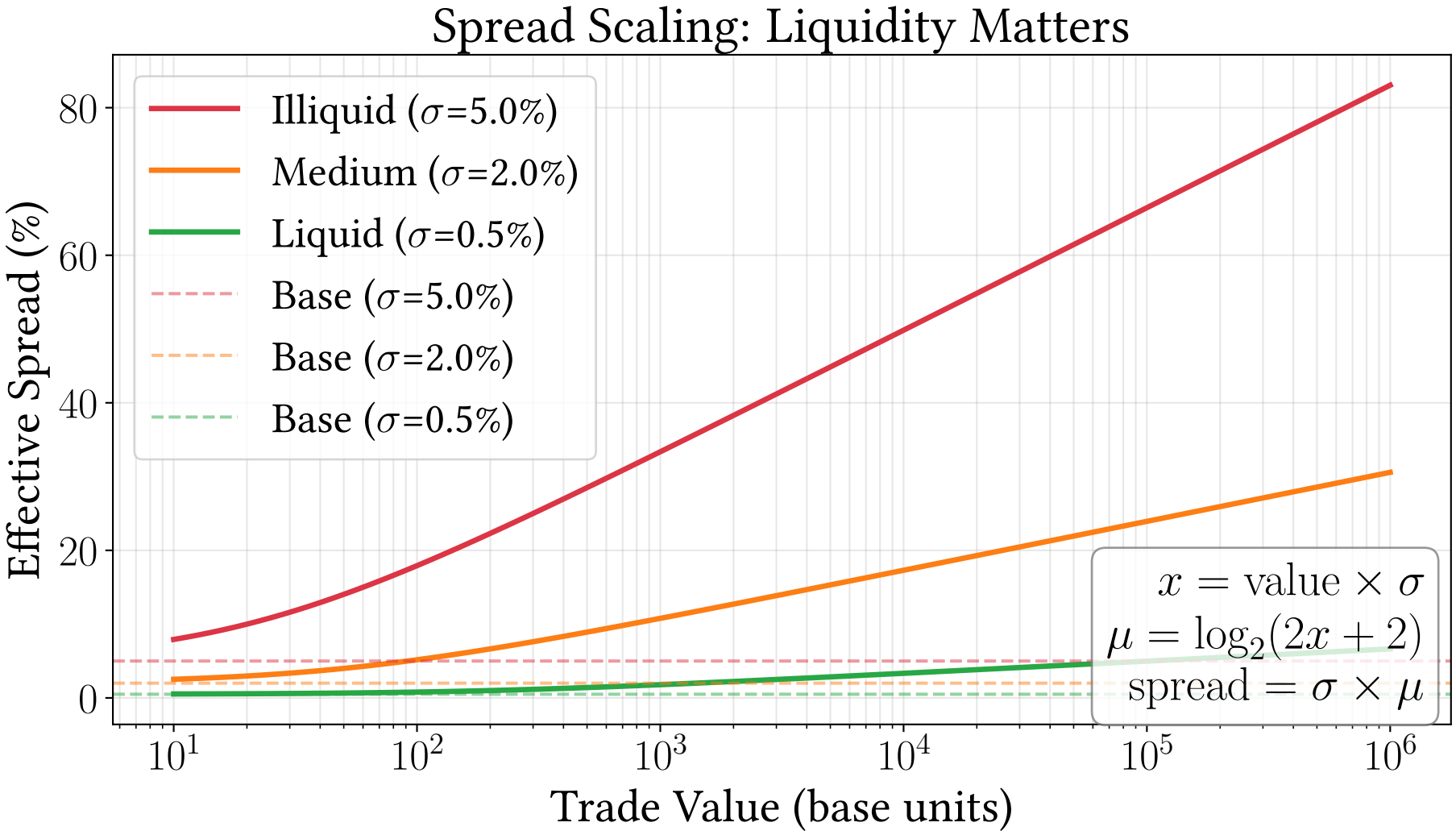
Spread Scaling: Liquidity Matters
Illiquid (σ=5.0%)
Medium (σ=2.0%)
Liquid (σ=0.5%)
Base (σ=5.0%)
Base (σ=2.0%)
Base (σ=0.5%)
x = value × σ
μ = log2(2x + 2)
spread = σ × μ
Effective Spread (%)
0
20
40
60
80
10^1
10^2
10^3
10^4
10^5
10^6
Trade Value (base units)